

Industry Analysis Report Using Wharton Research Data Services (WRDS) – Group 6

Total word count excluding reference, code and charts: 3300

1. Introduction: Industry Overview

Selected Industry: **Technology & Software Services**

The industry is defined as the following NAICS categories with associated codes, which is found by searching related keywords on NAICS code search portal (NAICS Association n.d.).

Category	Code(s)
Software Publishers	513210
IT & Computer Systems Design	541511, 541512, 541513, 541519
Data Processing / Hosting	518210
Internet Publishing / Web Portals	519130, 519190
Consulting / R&D	541690, 541715, 334111
Wireless Communication	517112

According to the Australian Securities Exchange (ASX) data, we can identify the major firms, Telstra, WiseTech, Xero, Technology One and NEXTDC, by its dominant market capitalization (Listcorp 2025), which is ranging from 9 billion to 29 billion Australian dollars.

	CODE	COMPANY	MARKET CAP	SHARE PRICE
1	ASX:TLS	Telstra Group Limited	54.82B	4.83
2	ASX:WTC	WiseTech Global Limited	28.77B	83
3	ASX:XRO	Xero Limited	25.84B	153
4	ASX:TNE	Technology One Limited	13.02B	39
5	ASX:NXT	NEXTDC Limited	10.4B	15

Top 5 Company in Technology & Software Services

Source: (Listcorp 2025).

According to the Australian Industry 2023-24 financial year, information media and telecommunications division, which is the division for Technology & Software industry, recorded 188,000 in employment and 49,871 million Australian dollars in value added. The earnings before interest, taxes, depreciation, and amortization are 23,606 million Australian dollars and ranked the 8th among all industry, despite employment is ranked 18th.

ANZSIC Division	Employment at end of June 2024 ('000)	Industry value added in 2023-24 (\$m)	EBITDA 2023-24 (\$m)	OPBT 2023-24 (\$m)
Agriculture, forestry and fishing	411	33,057	17,467	11,664
Mining	235	312,246	232,943	176,772

Manufacturing	902	134,752	47,072	33,558
Electricity, gas, water and waste services	143	56,054	34,922	14,409
Information media and telecommunications	188	49,871	23,606	4,068
Auxiliary finance and insurance services	175	41,438	14,029	19,617
Rental, hiring and real estate services	421	109,581	75,739	43,345

Australian Industry Employment, IVA data, EBITDA and OPBT, 2023-24

Source: (Australian Bureau of Statistics 2024).

The major super-cluster for the industry is in the Sydney Arc, that has 20.1% workers of Australia total and 81 ASX-listed companies. The second main region is Brisbane Corridor Supercluster, that has 16% of the workers and 62 ASX-listed companies (Hajkowicz S, Evans D, Cameron L, Trinh K, Chen H, Bratanova A, Mason C, Pham H, Travis S, Black R 2023).

According to Gartner report and the news report (Page 2025), the investment in the industry is keep growing to \$172 billion, global investigators are putting billions as well. While AI transformation is the key in industry growth, Gitlab research reported 62% of Australian software developer started to code with AI tools (Tech Business News 2025) and accelerating the development cycle. The government is also putting \$60 millions in funding small business to adopt digital tools (Australian Government 2025), which supporting the industry growth.

2. Data Description

2.1 Firm Analysis Data

WRDS datasets: Compustat - Capital IQ / Compustat / Global / Fundamentals Annual

Period: Jan 2014- Oct 2025

Variable	Description	Units
gvkey	Identifier key	Number (No Unit)
conm	Company Name	Text (No Unit)
datadate	Data	DD/MMM/YYYY
prccm	Closing Price	Millions of AUD/USD
cshtm	Trading Volume	Millions of AUD/USD
act	Current Asset	Millions of AUD/USD
lct	Current Liabilities - Total	Millions of AUD/USD
oanclf	Operating Activities - Net Cash Flow	Millions of AUD/USD
at	Assets - Total	Millions of AUD/USD
sale	Sales/Turnover (Net)	Millions of AUD/USD

teq	Stockholder Equity - Total	Number of Shares
nicon	Net Income (Loss) - Consolidated	Millions of AUD/USD
lt	Liabilities - Total	Millions of AUD/USD
aseq	Average Shareholder Equity	Number of Shares
Avg_total_Asset	Average Total Asset	Millions of AUD/USD

Data cleaning or filtering steps

1. Data Cleaning

Justification: Raw dates were normalized and transformed into year variables that were in the form of numbers. The new variables included the average shareholder equity and the average total assets and the main financial ratios (CR, OCF, DEQ, DR, NPM, ROA, ROE) were calculated giving the possibility to conduct the correct yearly trend analysis and visualization.

2. Filtering Steps

Justification: Dataset was filtered to only include the relevant firms i.e. NEXTDC and Telstra, such that the analysis is relevant.

2.2 Descriptive Data Analysis Data

WRDS datasets: Compustat - Capital IQ / Compustat / Global / Fundamentals Quarterly

Period: 2015 Oct - 2025 Oct

Variable	Description	Units
gvkey	Identifier key	Number (No Unit)
conml	Company Legal name	Text (No Unit)
fyearq, fqtr, datacptr	Fiscal year, quarter	Year
atq	Total assets	Millions of AUD/USD
revtq	Revenue	Millions of AUD/USD
ibq	Net income	Millions of AUD/USD
oiadpq	Operating income	Millions of AUD/USD
dlttq	Long-term debt	Millions of AUD/USD
ceqq	Equity	Millions of AUD/USD
oancfy	Operating cash flow	Millions of AUD/USD

WRDS datasets: Compustat - Capital IQ / Compustat / Global / Security Monthly

Period: 2015-10 to 2025-10

Variable	Description	Units
gvkey	Identifier key	Number (No Unit)
conm	Company Name	Text (No Unit)
datadate	Data	DD/MMM/YYYY
prccm	Closing Price	Millions of AUD/USD
prchm, prclm	Price (High/Low)	Millions of AUD/USD
cshtrm	Trading Volume	Millions of AUD/USD

exchg	Exchange Code	Millions of AUD/USD
fic	Currency Code	AUD/USD

Data cleaning or filtering steps

1. Turn datadate into quarter and year, and month and year
Justification: In constructing graph quarterly and monthly, each entry needs to be labelled with the corresponding time-series. Therefore, `qy()` and `ym()` are used to transform the `datadate`.
2. Use of `preserve`, `collapse`, `mean`, `sum` function
Justification: In each graph generation, `mean` or `sum` are calculated separately, therefore the data needs to be preserved and restore afterwards.
3. Identify NEXTDC and TELSTRA by variable `isFocusCompany`
Justification: A variable is created, “`isFocusCompany`”, to help with `collapse/sum/mean` function to generate and group data in the graphs.

2.3 Regression Analysis Data

WRDS datasets: Compustat - Capital IQ / Compustat / Global / Fundamentals Annual

Period: 2024

Variable	Description	Units
gvkey	Global Company Key	Identifier (No Unit)
conml	Company Legal Name	Text (No Unit)
at	Assets - Total	Millions of AUD/USD
revt	Revenue - Total	Millions of AUD/USD
nicon	Net Income (Loss) - Consolidated	Millions of AUD/USD
ceq	Common/Ordinary Equity - Total	Millions of AUD/USD
capx	Capital Expenditures	Millions of AUD/USD
xrd	Research and Development Expense	Millions of AUD/USD
emp	Employees	Thousands
curcd	ISO Currency Code	Category either USD or AUD (No Unit)
lt	Liabilities - Total	Millions of AUD/USD
xlr	Staff Expense - Total	Millions of AUD/USD

Data cleaning or filtering steps:

1. Remove entry if currency is not in AUD
Justification: Stata code ‘`keep if curcd == “AUD”`’ is used to remove entries not using AUD to ensure the consistency in all other variables, otherwise wrong result and interpretation would be made.
2. Drop variable if too many missing values
Justification: Stata code ‘`misstable`’ is used to check the missing values count, variables,

'xlr', 'emp', 'xrd', have more than 50% loss in data. The associated generated variables are therefore dropped to minimize biased result.

3. Remove Outlier

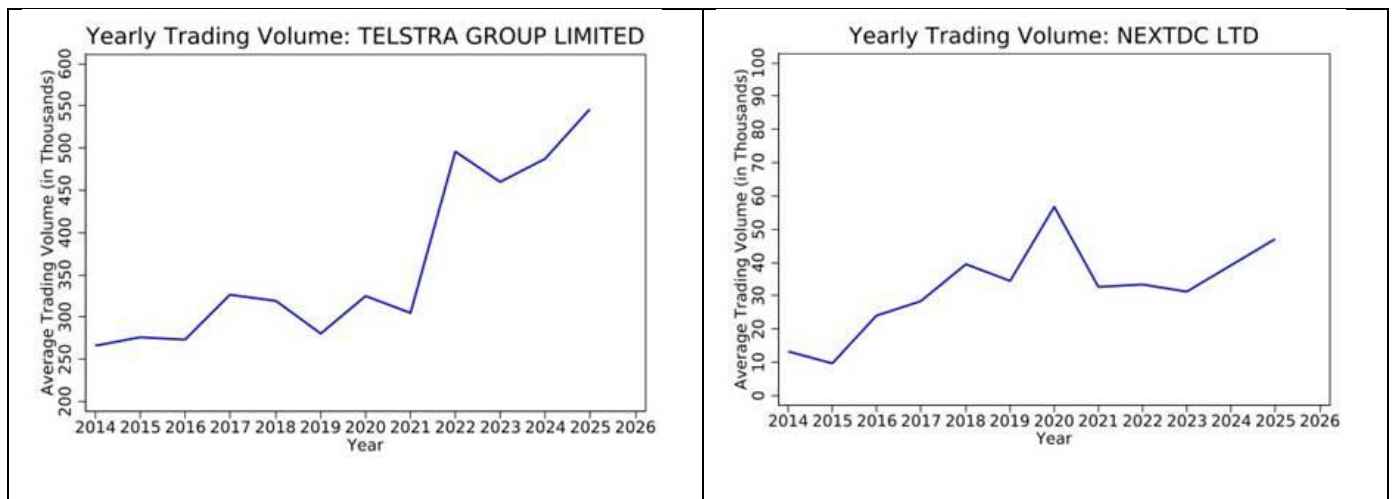
Justification: stata code 'drop if roa < 'p5' | roa > 'p99"' is used to drop outlier locate outside the 5th percentile and 95th percentile. By removing outliers, the results would be more unbiased since it is believed that outliers are made by mistakes.

3. Firm Analysis (10 marks)

Chosen Firms: **Telstra and NextDC**

3.1 Stock Price Performance

Stock Price Performance:





NEXTDC (ASX: NXT):

Price trends: strong multi-year uptrend FY2014–FY2025 with episodes of sharp volatility.

NEXTDC's stock price appreciated up significantly thanks to major expansions to capacity (M2, S2, B2, and later M3/S3) (NEXTDC 2017; NEXTDC 2018; NEXTDC 2019; NEXTDCa 24) and the A\$353 million S7 acquisition, which contributed to A\$1.3–1.5 billion in capital expenditures in FY25. The company's upward momentum was facilitated by rising AI demand driven by GPUs (NEXTDC 2025) and rising sector valuations, that are were underscored by AirTrunk's acquisition of about A\$24 billion (Blackstone 2024).

Telstra (ASX: TLS):

Price trends: consistent performance with moderate growth from FY2014 to FY2025, with little volatility. Telstra's share price did well owe to prudent investments in infrastructure, such as constructing big co-location data centers like Clayton (2019) and St. Leonards (2020) for growing the company's enterprise and cloud service capabilities and operating as a carrier-neutral colocation site (DataCenterDynamics 2021). These projects helped Telstra become a stronger player in the growing data center ecosystem. Enabling the company to branch out into high-margin digital infrastructure services, which are different from its main telecom business. Also, the partial sale of InfraCo Towers for A\$2.8 billion provided capital injection to improve its data infrastructure (Telstra 2021). At the same time, steady demand for cloud, edge computing, and

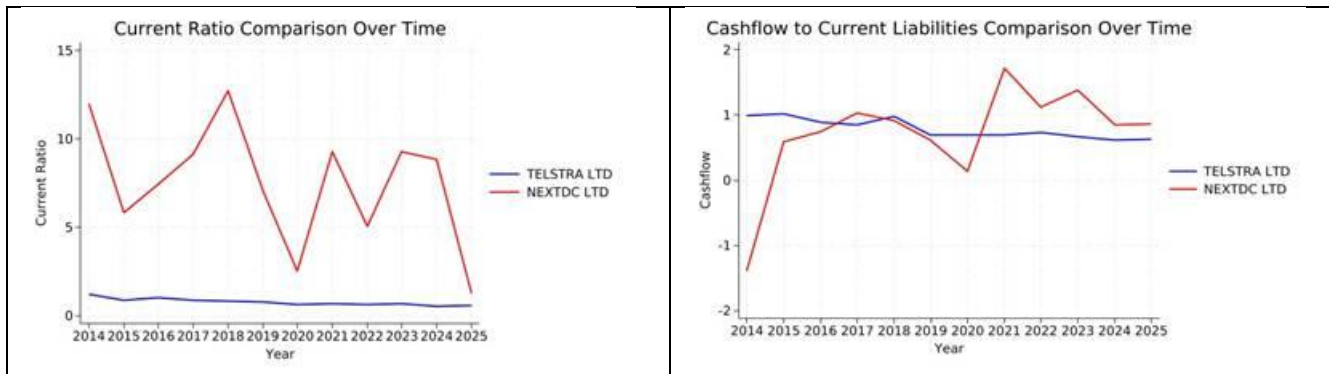
enterprise connectivity helped keep long-term investors' confidence high and support steady growth in the value of the company (Telstra 2023).

3.2 Financial & Operational Indicators

Metrics Used

- **Liquidity:** current ratio; cash-flow-to-current-liabilities.
- **Leverage:** debt ratio; debt-to-equity.
- **Efficiency:** total asset turnover.
- **Profitability:** net profit margin; ROE.

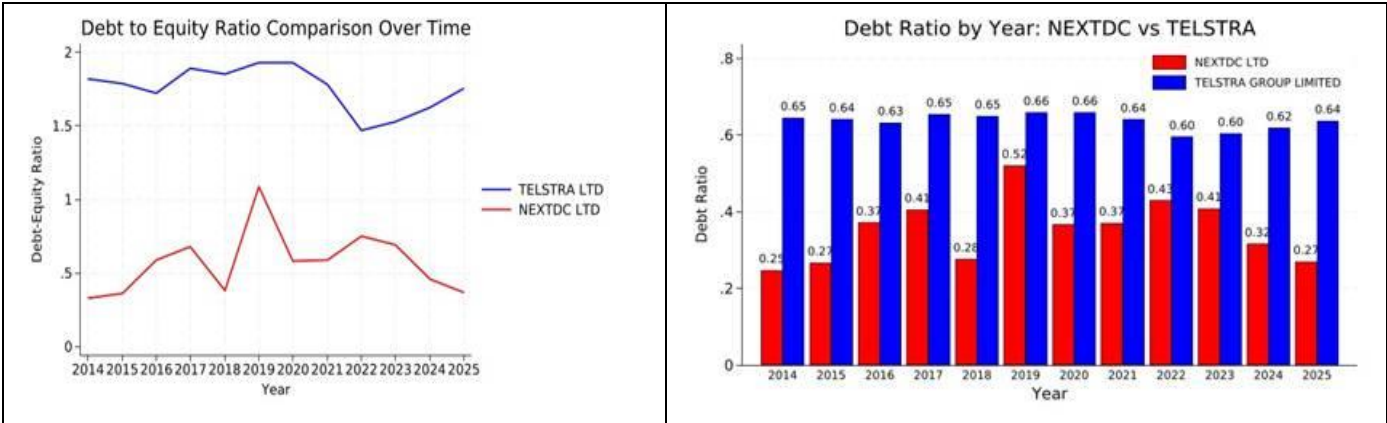
Liquidity Ratios:



Current Ratio: NEXTDC's current ratio is high but unstable given that working capital alters during build cycles. Telstra's is lower, stable, and consistent with mature cash generation and disciplined working capital.

Cashflow-to-current-liabilities: NEXTDC's cash flow to current liabilities varies with the timing of capital expenditures for infrastructure investment, however Telstra's stays essentially the same underscoring the maturity of the company and effective cash management.

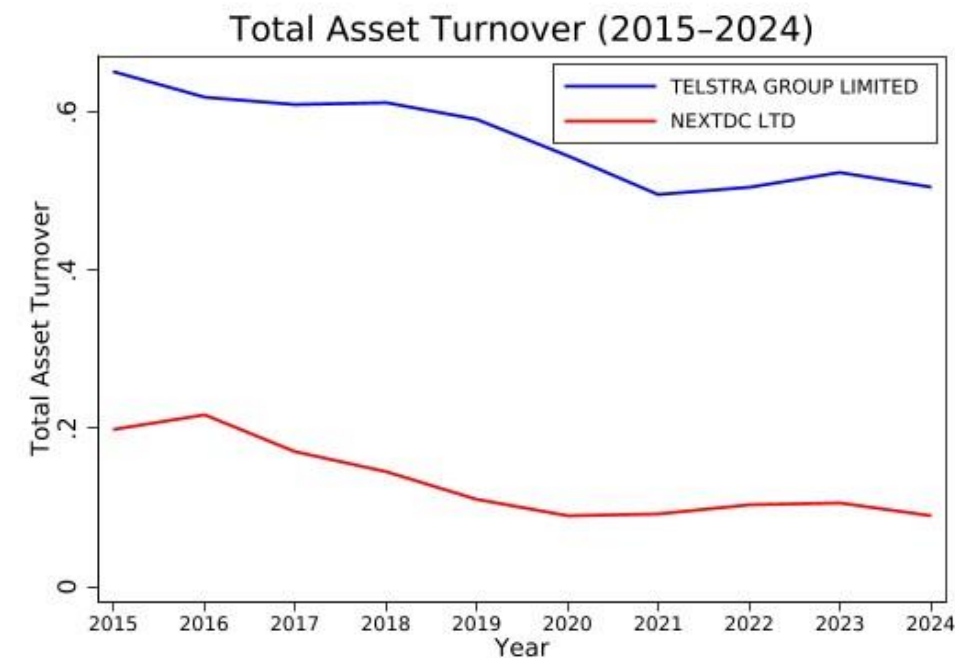
Leverage Ratios:



Debt Ratio: The debt ratio of Telstra is relatively high and has been averaging between 0.60 and 0.66 thus highlighting its financing model of developing a wide network and data-centre infrastructures. NEXTDC on the other hand has a relatively lower but more structurally volatile ratio, with its highest point in 2019; this trend can be explained by borrowing to finance the expansion projects and increasing dependence on the shareholder equity to finance the growth.

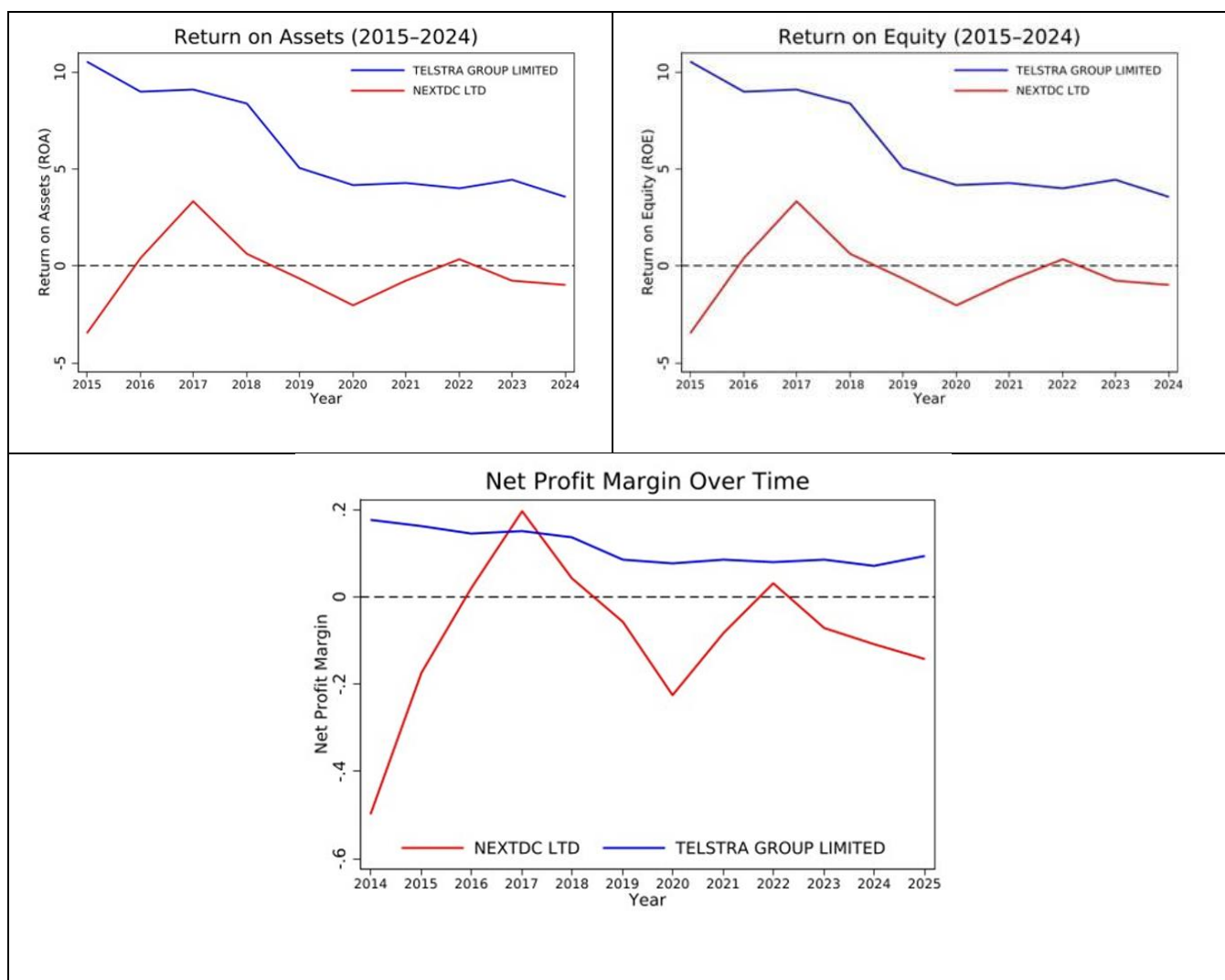
Debt-to-Equity Ratio: The high and consistent leverage position of Telstra is an indication of a strong reliance on debts to acquire and maintain the long-term assets of the company. Contrastingly, NEXTDC has a sharp increase in 2019, which signifies that a substantial amount of financing was being invested in large-scale data-center initiatives, and then the ratio leveled off, due to larger capital injections by shareholders that supported subsequent growth strategies.

Efficiency Ratios:



Total asset turnover:
Asset turnover for both companies are declining. NEXTDC asset turnover decline, underlines capacity built ahead of demand which is yet to be realized. Telstra maintains consistently higher total asset turnover, reflecting efficient revenue generation and asset utilization.

Profitability Ratios:



Return on Equity: Telstra's positive ROE signals durable value creation from a diversified platform; NEXTDC's negative/unstable ROE is typical of early-stage infrastructure scaling whose gains are yet to be realized

Return on Assets: Telstra has higher and constant ROA of efficient use of assets, whereas NEXTDC has fluctuating negative ROA of over-invested and lagging returns.

Net profit margin: NEXTDC remains volatile, often negative given depreciation and financing drag during expansion. Telstra is consistently positive, supported by diversified telecom & technology revenues.

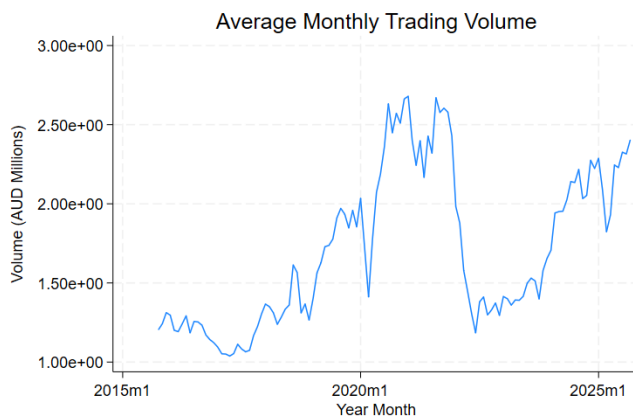
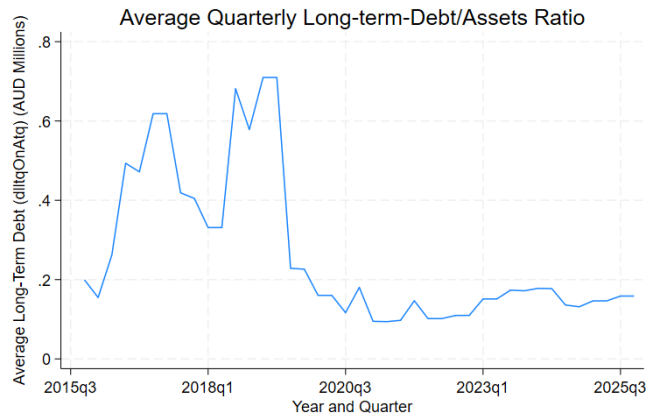
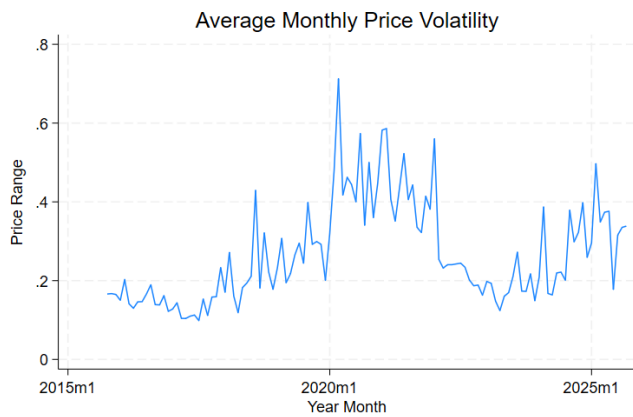
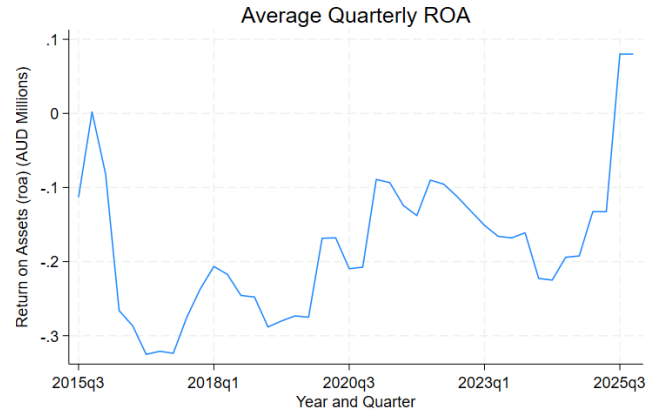
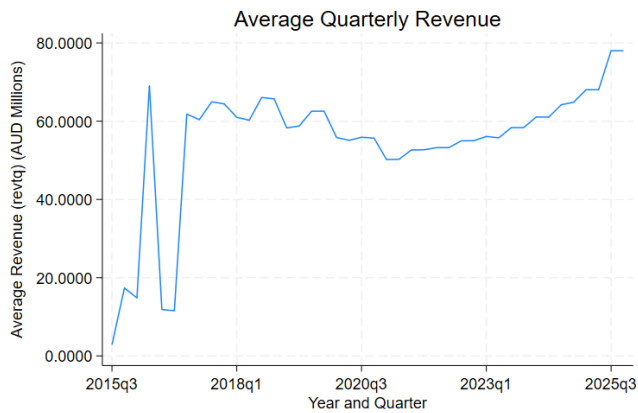
3.3 Significant Events

NEXTDC expansion waves (2018–2021; 2024–2025). Completion and ramping up of M2, S2, B2 (2018–20) lifted capacity but temporarily suppressed efficiency/profitability (NEXTDC 2018; NEXTDC 2019); 2024 announcement to acquire S7 (A\$353m) and FY25 capex plan reinforced growth trajectory amid AI/GPU demand—supporting valuations and, at times, price volatility (NEXTDC 2024a; NEXTDC 2025). Sector re-rating in 2020 and 2024 via AirTrunk deals i.e. A\$3bn 2020; A\$24bn 2024 catalyzed investor focus on DC platforms, indirectly benefiting peers' multiples and trading activity (Blackstone 2024; Galloway 2020)

The 2018 T22 restructuring and the InfraCo separation which occurred between 2018 and 2021 are the most notable events that Telstra experienced in the period between 2018 and 2021, culminating in the simplification of operations and focusing on the strategic direction (Telstra 2021). In 2021, Telstra used the proceeds to buy back shares and bolster its balance sheet, which encouraged the stability of stocks, by selling a 49 percent interest in InfraCo Towers at A\$2.8 billion (Telstra 2021). In addition, in 2021, conversion of the St Leonards and Clayton data centers into carrier-neutral colocation hubs increased the number of enterprises in Telstra infrastructure portfolio and diversified the revenue flows (DataCenterDynamics 2021).

4. Descriptive Data Analysis

4.1 Key-Metric Trends



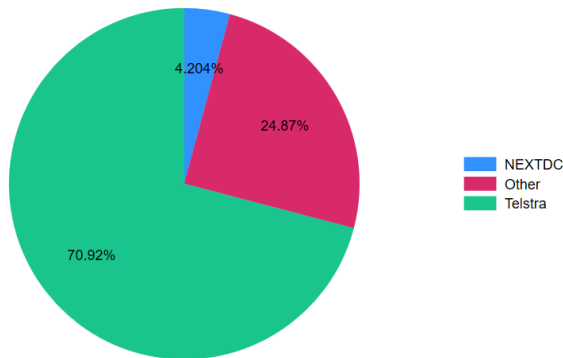
With the 5 graphs generated from WRDS datasets. It is observed that

1. The average company revenue decreased from 2015 but start to increase from 2020, while it is the peak in 2025
2. Negative average return on assets (ROA) is observed in almost all period from 2015q3 to 2024q4, it turned positive in 2025q1

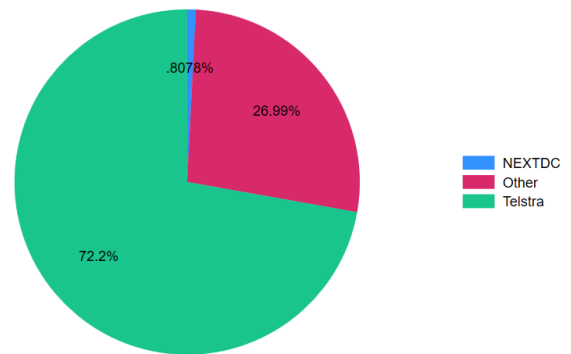
3. The average monthly price volatility fluctuates around .2 to .7, the highest point is observed in 2020 Jan.
4. The average long-term debt/assets ratio was high at 2016q1 to 2019q3 at average .7, but suddenly dropped to .2
5. The average trading volume keeps increasing all time, but with a big drop in 2022.

4.2 Comparative Analysis

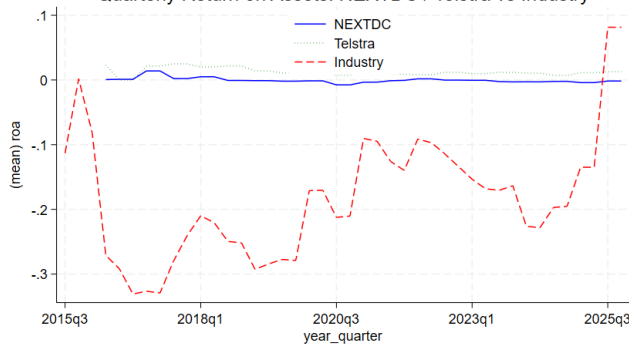
Average Total Assets NEXTDC/Telstra vs Industry



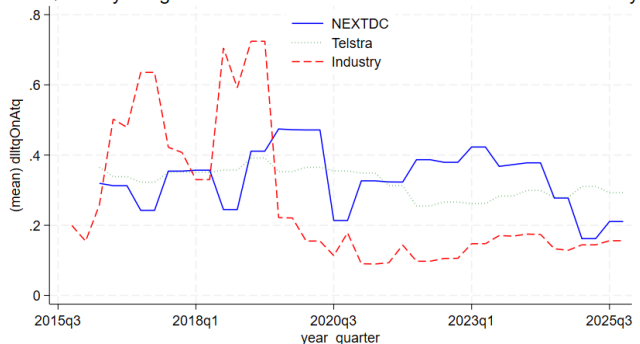
Average Revenue NEXTDC/Telstra vs Industry



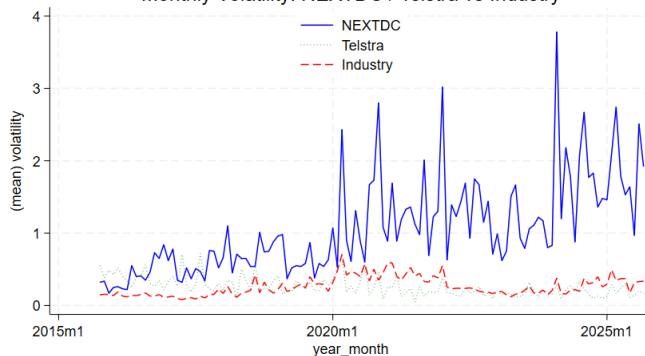
Quarterly Return on Assets: NEXTDC / Telstra vs Industry



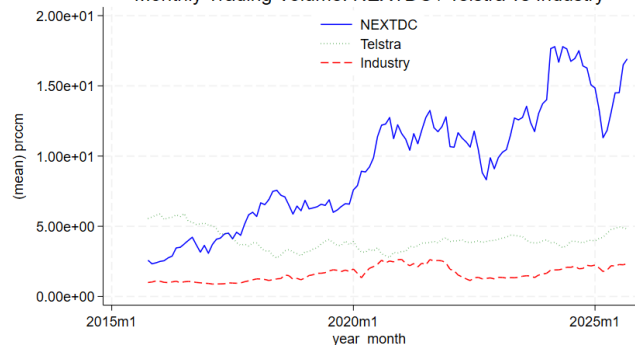
Quarterly Long-term-Debt/Assets Ratio: NEXTDC / Telstra vs Industry



Monthly Volatility: NEXTDC / Telstra vs Industry



Monthly Trading Volume: NEXTDC / Telstra vs Industry

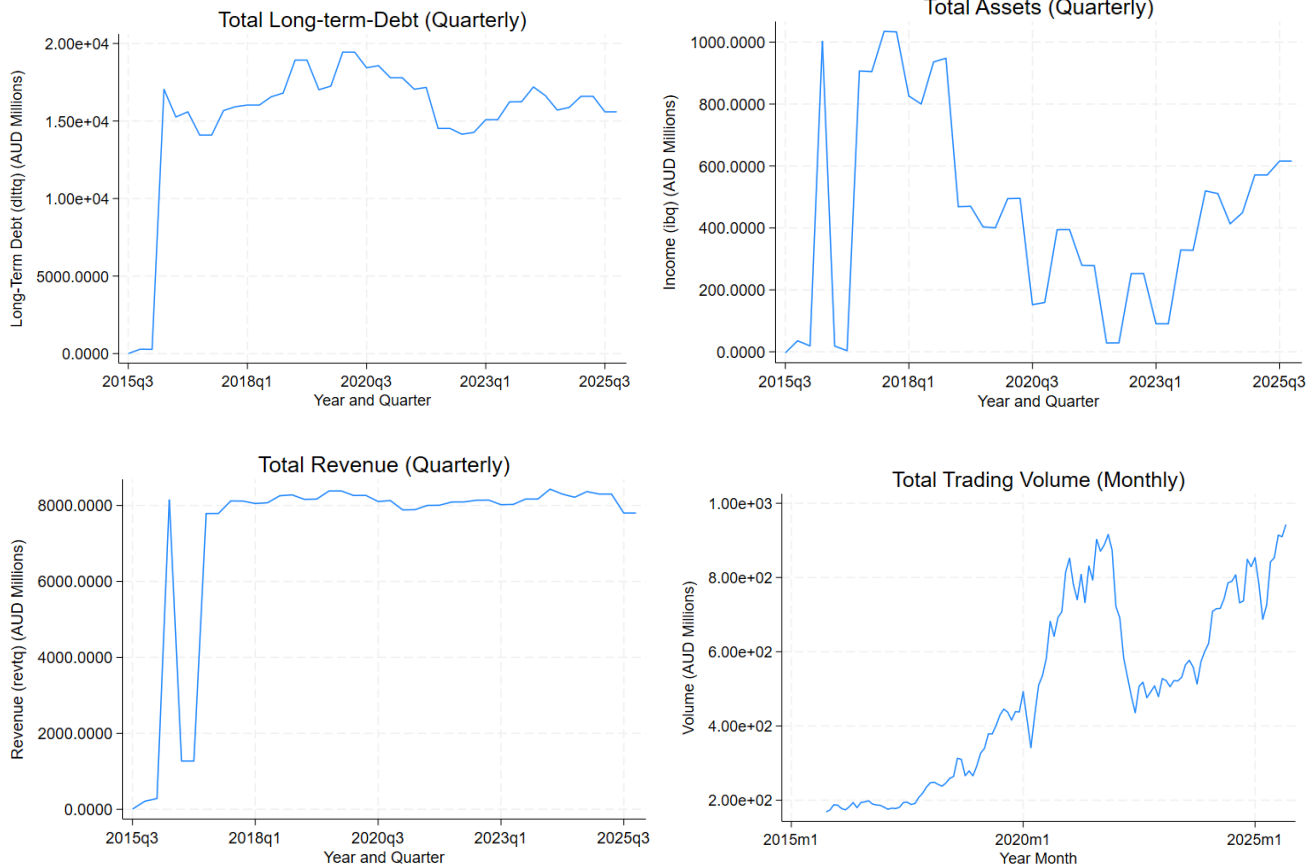


With the data compare between NEXTDC and Telstra, It is observed that:

1. They have large scale differences all the time due to their different business models and positions in the market. NEXTDC operate with approximately 5 – 10% of Telstra's quarterly revenues.

2. Telstra's revenue remains stable relatively, while NEXTDC has a higher revenue growth as the data center market is expanding.
3. Telstra's ROA reflects mature and capital-intensive nature of the Telecommunications while NEXTDC's ROA shows that they invest a lot in data centre capacity more than the demand. This depresses the returns on assets.

4.3 Industry Aggregates



With the graphs above, it is observed that:

1. Total industry revenue peaked at around AUD 800,000 million in 2018Q1 then decreased sharply to around AUD 150,000 million in a few quarters and back to around AUD 700,000 million by 2025
2. Total assets show similar pattern with peaking near AUD 1,000,000 million in 2018 decreased for a while and back to around AUD 600,000 million by 2025.
3. Total industry long-term debt remained stable relatively with around AUD 150,000 million to 200,000 million in the whole period.
4. Total monthly trading volume has increased from near zero in 2015 to 1×10^3 million by 2025.

4.4 Discussion of Results

The Industry Giant – Telstra

The pie charts show the dominance of Telstra in the industry, that contributed to over 70% of the industry total assets/revenue. Compared to NEXTDC, NEXTDC's 4% in total asset and 0.8% in total revenue are relatively small. It is obvious that Telstra is impacting the average of industry heavily, the shape of industry average is following Telstra's performance. As a result, the industry average performance masked the success of small firms, such as NEXTDC, the ROA is always higher than Telstra in the past 10 years but not being reflected in the average data.

Industry Growth

The industry has a remarkable growth with fluctuations in the past 10 years. The average revenue increased 8 folds to 80,000 AUD million in 2025 with two phases, 2015-2016 & 2021-2025. The growth trend is aligned with the digitalization businesses growth in Australia. It shows the huge needs of digitalization transformation after the COVID-19 pandemic.

Despite years of negative ROA between -3% (2015) and -1% (2024), it improved to +1% in 2025Q3. The industry became profitable with investment in assets and operational growth. This trend is like some other economic sectors, where growth is often driven by high capital expenditure. The industry average debt-to-asset ratio peaked at around 7 in 2018 and reduced back to ~1.5 by 2025. This leverage ratio decrease indicates a successful reduction in debt levels, most likely by repayment or an increase in the assessed base which leads to profitable operations.

Market Dynamics and Investor Sentiment

Stock market behavior shows the investors' perception changes throughout the study period. Price dropped volatility to 7-8% in early 2020, which reflects pandemic uncertainty on the technology sector during the initial lockdowns. The volatility gradually moderated to 2-4% by 2023 to 2025. This suggests that markets have adapted to the environment after the pandemic and developed greater confidence in resilience and growth prospects.

Trading volume grows from 1 billion to 2.5 billion shows that the sector increases prominence in equity markets of Australian. With more investor participation, the industry stocks became mature asset classes. Sustained trading volumes suggest the investors have increased allocation to equities of technology within Australia.

Comparative Strategic Positioning

Telstra and NEXTDC have different industry strategic plans, Telstra generate profit from optimizing existing infrastructure on a large scale, while NEXTDC focus on data center and cloud computing development on a smaller scale but higher growth.

Two companies use debts in a different way, although NEXTDC achieved higher ROA on higher debt/asset ratio, which indicates the successful expansions, both NEXTDC and Telstra generated profits from the debt efficiently, which performs much better than the rest of the industry. The rest of the industry has negative value in ROA in the past 10 years, except 2025.

5. Regression Analysis

5.1 Model Specification

In the analysis, the model is defined in data retrieved from fundamentals annual in year 2024:

$$\text{Return on Assets} = \beta_0 + \beta_1 \log(\text{Assets}) + \beta_2 \text{Leverage} + \beta_3 \text{Capex Ratio} + \varepsilon_i$$

$$\widehat{ROA} = -0.672 + 0.139 \times \log(\text{Assets}) - 0.196 \times \text{Leverage} - 1.300 \times \text{Capex Ratio}$$

5.2 Variable

The dependent variable is **return on assets** (ROA), which is calculated as $\left(\frac{\text{Net Income}}{\text{Total Assets}}\right)$.

The independents variables are

- **Log of total assets**, which is calculated by $\log(at)$, this is transformed to reduce the impact of large figures from large firms and make linear models.
- **Leverage**, represents the reliance on debt of a firm, which is calculated by $\frac{\text{Total Liabilities}}{\text{Total Assets}}$.
- **Capex Ratio**, is the capital expenditure and asset ratio, to represent the asset investment level of a firm, which is calculated by $\frac{\text{Capital Expenditures}}{\text{Total Assets}}$.

5.3 Estimation Results

There are 4 regression models generated by 'regress' command in Stata after data cleaning and diagnostic checking. The table below is output by 'eststo' command with Adjusted R square, standard errors, statistical significances and coefficient for all independents variables.

Regression of ROA on Firm Characteristics

	(1)	(2)	(3)	(4)
	Return on Asset (Net Income / Asset)	Return on Asset (Net Income / Asset)	Return on Asset (Net Income / Asset)	Return on Asset (Net Income / Asset)
Log(at)	0.158*** (0.0180)	0.180*** (0.0173)	0.139*** (0.0182)	0.174*** (0.0196)
Leverage	-0.0946***		-0.196***	

(Liabilities/Assets)	(0.0288)		(0.0355)	
Capital Expenditure Ratio			-1.300	-1.003
			(0.967)	(1.106)
Constant	-0.831*** (0.0800)	-0.986*** (0.0674)	-0.672*** (0.0850)	-0.950*** (0.0784)
Adjusted R-squared	0.526	0.485	0.577	0.446
Observations	115	115	98	98

Standard errors in parentheses

* $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$

5.4 Interpretation

The best model is model 3 among all models because it can explain 57.7% of the variation in ROA, which is the highest among all models and interpreted from the adjusted R square. Moreover, all 3 features are statistically significant with low p values.

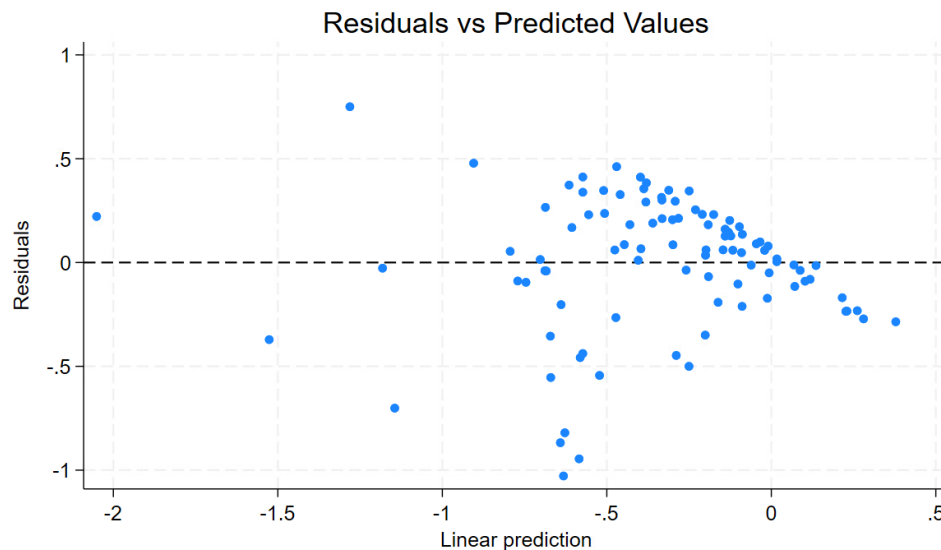
The coefficient of total assets, 0.139, is highly significant with $p < 0.01$, which indicates each 1% increase in total assets brings 0.139 in ROA of a firm. This concludes that the more assets, the larger the firm scale, the higher the profit.

The coefficient of leverage, -0.196, is also highly significant with $p < 0.01$. Every 1-unit increase brings 0.196 decrease in ROA of a firm. This indicates that the higher the level of debt to their assets, the lower the profit. This implies the concept of interest payment on debt.

The coefficient of capital expenditure ratio, -1.300, is significant with $p < 0.005$. In each unit increase in the ratio brings 1.30 decrease in ROA. The higher the investment in capex, the lower the profit. However, the investment benefit may not be reflected in short term in this annual dataset, so it may reflect to previous investment.

5.5 Diagnostics

The residual and prediction plot is exported using 'twoway' command in stata for model 3. There is evidence in the presence of heteroskedasticity, the variance of residuals decreases while values increase. Although the model is not ideally homoskedastic, the model has a R square value of 0.577, which indicates that 57.7% of the variation in ROA can be explained by the 3 variables, total asset, leverage and capex ratio. Therefore, the cross-sectional analysis is considered as strong given the R square value.



5.6 Methodological Rationale

The preferred model is concluded after few processing procedures, and only 3 selected features are included in the model. This is because

- These 3 features consist of relatively fewer missing values, while features such as 'employees', staff expense' and 'research & development expense' have more than 45% missing value and therefore dropped,
- Statistical indicators such as p-value and R square show they are highly significant features,
- These features do not have multicollinearity issues, while potential predictor 'turnover' is derived from revenue and income, and therefore dropped.

To maintain good linear relationships in the model, total assets are transformed into $\log(\text{total assets})$, as well as the dropped predictor 'revenue'. This also makes a better interpretation in transforming between 'log' and 'level' functional form, it is easier to understand 1% increase in total asset than 1 dollar increase. In addition, leverage and capex ratio are calculated by dividing total assets to make the value comparable among firms in different scales.

6. Conclusion and Policy Recommendations

The analysis shows the Australian Technology & Software Services industry is constantly generating high revenue in the past 10 years. The industry optimizes its infrastructure to reduce the assets to achieve higher ROA while maintaining high revenue. Telstra dominates the industry, while a major smaller firm, NEXTDC, also demonstrated good efficiency and had higher ROA. The charts also concluded that the industry is mature; the industry model is turned from "growth" to "profit making". The 2024 cross-sectional regression model also suggested leverage and capex

activities would bring a decrease in ROA. The higher the assets, the higher the ROA, which represents the bigger the firm after “growing period”, generating more profit.

Regarding policy recommendations, several actions should be taken below.

1. Support of Long-Term Investment

High capital expenditure is affecting profitability negatively (coefficient -1.3), which discourages long-term investment for large-scale development, such as datacenter, AI implementation and advanced networks, could harm the future growth.

It is recommended that the government stimulate the market by reducing investment tax, increasing allowances, and providing R&D funding to firms. As a result, firms can launch long-term investment projects without being affected by market focus on short-term returns.

2. Support of Competitive and Dynamic Marketplace

The analysis demonstrates that the industry is led by Telstra (over 70% of the industry), however smaller firms are more efficient to grow and earn (NEXTDC high ROA). The industry should allow and introduce more innovative small firms to participate and take important roles in maintaining overall dynamism, competitiveness, and healthiness.

It is recommended that the regulators and government should monitor the anti-competitive frameworks, regulations, and implementation closely. Also, provide more funds for start-up firms and lower barriers to enter the market.

3. Collaboration between The Industry and Educational System

It is recommended that companies and universities build a close connection to develop a work-ready workforce. Firms can easily find qualified employees and talents for the Technology industry. On the other hand, universities will be able to create a more relevant and practical curricula, get more resources such as funding and real industrial data to conduct research (Evans 2023).

Future Research:

- Further research can expend the data to compare the competitiveness between Australia and New Zealand markets, or even the whole Asia-Pacific region.
We can add some metrics like social, environmental, and governance to the study because they could affect the corporate and investors strategy in the Technology sector.

Limitations:

- The study has some constraints with the data only from WRDS, which does not have much data from smaller and privately held companies, and there are some commonly used variables such as staff size (emp) and expenses for R&D not available because of high missing rate.
- The cross-sectional regression model captures only one year (2024), which is not helpful in reflecting the long-term effects.

7. Annotated Stata Code

Please check attached .do files.

8. Reference

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